

New SEPA Method Back Office

User Guide

PeopleXD Payroll

Table of Contents

Document Control	4
1. Overview	5
1.1. Purpose of the Guide.....	5
1.2. About SEPA Changes (ISO20022)	5
1.3. Key Changes	7
1.3.1. Structured Addresses.....	7
1.3.2. Customised Bank File Implementations	7
1.3.3. Changes to SEPA XML Bank File	7
1.4. Actions For Employers	8
2. Configuration Requirements	10
2.1. Overview	10
2.2. Enable the New SEPA Method at System Level	11
2.3. Enable the New SEPA Method at Company Level.....	12
2.4. Local Instrument Code.....	13
2.4.1. Overview.....	13
2.4.2. Update the Local Instrument Code	14
3. Data Mapping	15
3.1.1. Overview.....	15
3.2. Mapping SEPA Address data.....	16
3.3. Map the SEPA Employee Address	17
3.4. Map the SEPA Employer Address	19
4. Bank-Specific Requirements for SEPA File Format Retrofitting	21

Table of Contents

4.1.	Overview	21
4.2.	Changes to SEPA XML Bank File	22
4.3.	Configuring the SEPA Bank File Settings	23
5.	Third Party EFT	25
5.1.	Overview	25
5.2.	Configuration Requirements	25
5.3.	Generate Third Party EFT File	27
5.3.1.	Extract Third Party Details	27
5.3.2.	Generate Third Party EFT File	28

Document Control

Version	Date	Author	Details
1.0	3 rd January 2025	James Martin	Published to Access LMS
1.1	31 st March 2026	Brian O'Keeffe	Section 5. Third Party EFT added to guide.

1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide comprehensive guidance on configuring PeopleXD to support the New SEPA Method in preparation for its rollout. This guide covers the following key areas:

- Switching on the New SEPA Method at System Level.
- Switching on the New SEPA Method at Company Level.
- Data Mapping for SEPA XML Bank Files.
- Incorporating SEPA updates into Expense XD.
- Bank-Specific Requirements for SEPA File Format Retrofitting.
- Preparing and Cleansing Address Data to meet structured address requirements.
- Validating SEPA Payment Files for different banks to ensure compliance with specific implementations.
- Timelines and Readiness Checks to align with mandatory deadlines.

1.2. About SEPA Changes (ISO20022)

The SEPA (ISO 20022) schema changes are being introduced as part of a European Directive aimed at enhancing payment processing across Europe. These changes, originally set to become mandatory from **October/November 2025**, are designed to facilitate **instant and more efficient payments**, benefiting both businesses and individuals.

In **November 2024**, the **European Payments Council (EPC)** announced a change to the implementation timeline:

- The adoption of **ISO 20022 messaging remains mandatory from October 2025**.
- However, the **structured address requirement** has been **delayed to November 2026** to give organizations more time to comply.

Employers should consult their banks to determine whether early adoption of structured address reporting is recommended.

The **October 2025 vs. November 2026 deadlines** for SEPA ISO 20022 changes are due to different regulatory and implementation timelines:

1. **October 2025 Deadline**

- This is the general deadline for the adoption of the **ISO 20022 messaging format** for SEPA credit transfers and direct debits.
- It is set by the **European Payments Council (EPC)** and applies to all SEPA participants, including banks, payment service providers, and businesses processing SEPA payments.
- By this date, organizations must ensure their systems are compatible with the new format.

2. **November 2026 Deadline**

- This is a separate deadline specifically for the **structured address reporting requirement**.
- Initially, this requirement was part of the October 2025 changes, but it has been **delayed by the EPC to November 2026** to give businesses and banks more time to adapt.
- Most banks, however, **recommend implementing structured addresses alongside the October 2025 migration** to avoid additional system changes later.



Note:

It is critical that you have a conversation with your Bank regarding their plans for supporting ISO20022 and what they recommend you do.

1.3. Key Changes

1.3.1. Structured Addresses

One of the significant updates under the SEPA ISO20022 schema is the requirement for structured addresses within payment files. This ensures consistency and accuracy in payment processing across financial institutions.

Employers should verify with their bank what address format they require or if its ok to omit the address from the SEPA File completely. The mapping of the address format can be managed as outlined in section [3.2 Mapping SEPA Address Data](#). Once a decision on the structured address reporting requirement is confirmed, users will need to review their system address data and any HR or other system feeds to identify and potentially cleanse any necessary data.



Note:

Please see the EU Standard address mapping:

- <https://www.swift.com/swift-resource/250266/download>

1.3.2. Customised Bank File Implementations

While the SEPA ISO20022 schema provides a general framework, its implementation can vary slightly between banks. Each bank's specific requirements will need to be validated to ensure compatibility with their systems.

1.3.3. Changes to SEPA XML Bank File

The new SEPA ISO20022 schema introduces several changes to the XML Bank File format. This section outlines key modifications and new tags in **Version .09** of the SEPA XML standard.

XML Group	Description	Example XML Structure:
Header	Encoding Change	xmlns= "urn:iso:std:iso:20022:tech:xsd:pain.001.001.09"
Local Instrument Code	Purpose: Identifies the Standard Entry Class Code.	<LclInstrm> <Cd>LIC</Cd> </LclInstrm>

XML Group	Description	Example XML Structure:
	Refer to the Local Instrument Code section for specific requirements.	
Settlement Information - Requested Execution Date	A new <Dt> tag is introduced within the <ReqdExctnDt> Xpath. This date often aligns with the processing date due to instant transaction processing.	<ReqdExctnDt> <Dt>2024-09-11</Dt> </ReqdExctnDt>
Debtor and Creditor Agent BIC	Change: The tag <BIC> is replaced with <BICFI> within the Xpath.	<FinInstnId> <BICFI>AIBKIE2D</BICFI> </FinInstnId>
Debtor Agent Address Changes	Debtor SEPA Address Tags: The format of debtor address tags may vary by bank. PeopleXD Reference Data can be mapped to these SEPA tags:	<Nm>968 - FRANECKI INC</Nm> <PstlAdr> <StrtNm>5 GREENFIELDS</StrtNm> <PstCd>R95P79R</PstCd> <TwnNm>FRESHFORD RD</TwnNm> <CtrySubDvsn>KILKENNY</CtrySubDvsn> <Ctry>IE</Ctry> </PstlAdr>
Creditor Agent Address Changes	Creditor SEPA Address Tags: Similar changes apply to creditor addresses. Ensure mapping aligns with your bank's requirements.	<PstlAdr> <StrtNm>15 Loreto Avenue</StrtNm> <PstCd>D13DD23</PstCd> <TwnNm>Bishops Meadows</TwnNm> <CtrySubDvsn>Kilkenny</CtrySubDvsn> </PstlAdr>

1.4. Actions For Employers

It is critical that you have a conversation with your Bank regarding their plans for supporting ISO20022 and what they recommend you do. It is recommended to confirm the following points with your bank:

Action	Bank's Confirmation
Their specific SEPA Bank ISO 20022 requirements	

The appropriate Local Instrument Code	
The structured address reporting requirements	
Confirmed for all payment systems	

Employers need to check this for all payment systems (e.g. **Expense & Payroll**) to verify if they should transition to PAIN.009 fully or use PAIN.003 with modifications or apply no change at all. If recommended by your Bank, consider adopting SEPA ISO 20022 changes early to ensure a smooth transition. Once a decision on the structured address reporting requirement is confirmed, review system address data and any HR or other system feeds to identify and cleanse any necessary data.

2. Configuration Requirements

2.1. Overview

In Payroll XD, the New SEPA Method can be activated at two levels:

- **System Level:**

This setting applies the New SEPA Method across all payroll companies within the database. It is ideal for organisations managing a single payroll company or for those transitioning all companies to SEPA simultaneously.

- **Company Level:**

This option allows greater flexibility, enabling the New SEPA Method for individual companies. This is particularly beneficial for databases managing multiple payroll companies, where:

- Different bank files may be used across companies.
- The transition to SEPA may occur at different times for each company.

By enabling configuration at the company level, organisations can ensure a smooth and gradual transition to SEPA while maintaining compatibility with legacy payment methods where necessary.



Citi Bank:

While the **SEPA ISO20022** standard introduces significant changes to payment file formats, certain banks may continue to use their existing formats.

Citi Bank Format

Notification: Citi Bank has confirmed that they will continue to use their existing file format without requiring any changes.

Recommendation: Sites using Citi Bank should confirm with their bank whether this applies to their accounts. If no changes are required, no additional configuration or adjustments to the SEPA setup will be necessary.

Other Banks

Action Required: Since each bank may implement SEPA changes differently, it is crucial for sites to validate file format requirements with their respective banks. If no changes are required, continue using the existing configuration. If changes are necessary, follow the steps outlined in this guide to update the SEPA configuration.

2.2. Enable the New SEPA Method at System Level

To enable the **New SEPA Method** at the **System Level**:

1. Go to CorePay > Update > Utilities > System Configuration > General
2. Enable the *SEPA New Method* indicator to apply the New SEPA Method across all payroll companies in the system.

The screenshot shows the 'GENERAL' system configuration window. On the left, there is a list of various system settings with checkboxes. On the right, there are sections for 'P60', 'Paypath', 'Pay Group Level Bank Details', and 'P11D/P11Db'. In the 'Pay Group Level Bank Details' section, the 'SEPA New Method' checkbox is checked and highlighted with a red rectangle. The 'SEPA Level' dropdown is set to 'IBAN Mode'. The 'P11D/P11Db' section shows 'Run P11D/P11Db from' set to 'Both Payroll and Expense Site' and 'Class 1A NICs Rate' set to '14.53'.

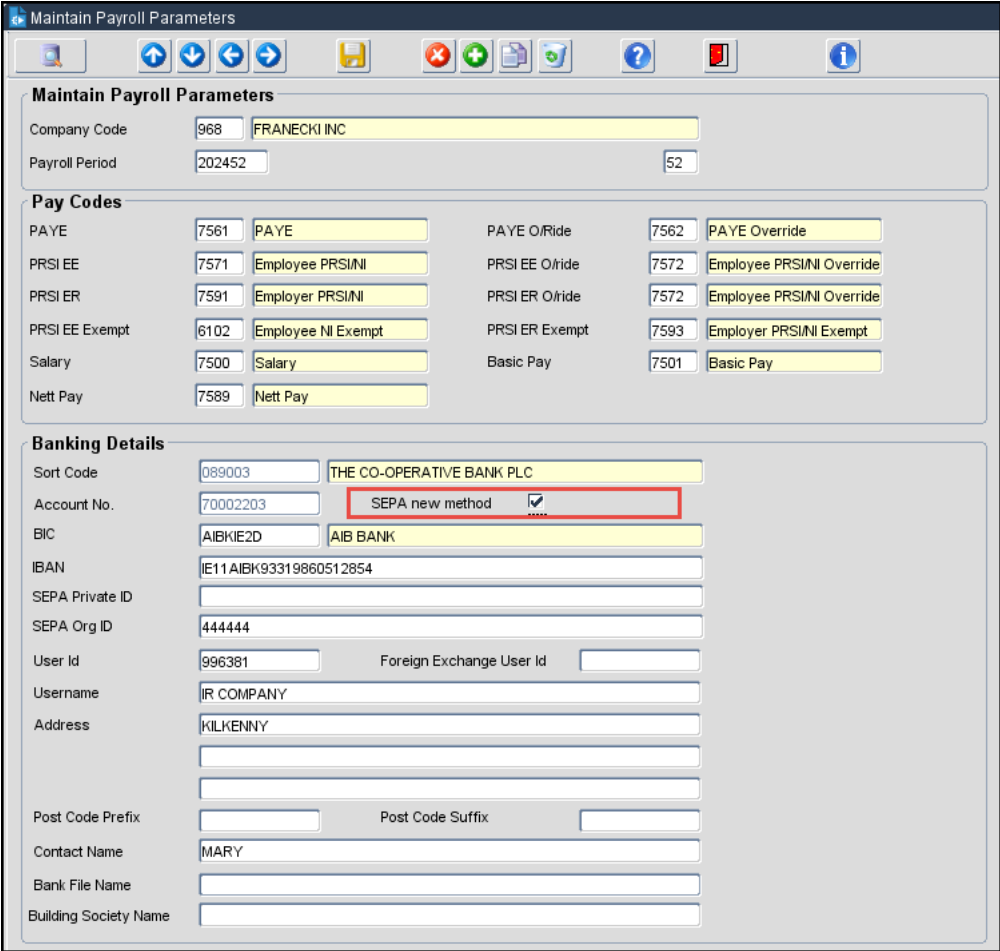
Setting	Value/Status
Client Code	PACKAGE
Duplicate PPS Numbers	N
Country	IR
Currency Code	
Organisation Hierarchy Type E, C or K	
Default Adjustment Indicator	
Hide PRS/INI Totals	
End Date D/A/P for Leaver	
Scaled Deduction Holiday	
Dormant Employees on Tax Certs	
Irregular Claims/Part Time PRSI Week by Week Recalculation	
Multiple Periods of Employment	
Enable ROS Supplementary P45's	
Interface to CoreBank	
Disk Exchange Reference Field	
Negative Retrospection on Government Overtime	
Enable Discipline on Cost Centre	
Enable Active Indicator on Other References	
Enable Pay On Demand	
Display HR Email	
Enable Payroll End Date	
Enable Increment Deferral	
Disable Browse File	
P60 Address	
ESS P60s/Income Levy Certs.	
BOI Online - Max No. of Lines	
Paypath Reference	
Disable Browse Button	
Paypath File Location	C:\
Credit Union Reference Indicator	
Transfer Payment to Company Account	
SEPA Level	IBAN Mode
SEPA New Method	✓
Include Cancel/Manual Payments in Third Party Paypath	
Run P11D/P11Db from	Both Payroll and Expense Site
Class 1A NICs Rate	14.53

3. Click **Save**.

2.3. Enable the New SEPA Method at Company Level

To enable the **New SEPA Method** for a specific company:

1. Go to CorePay > Reference > Payroll Parameters
2. Enter the Company Code in the Company Code field or click  to select it from the LOVs.
3. Enable the *SEPA New Method* indicator to apply the New SEPA Method for the selected company.



Maintain Payroll Parameters

Company Code: 968 FRANECKI INC

Payroll Period: 202452 52

Pay Codes

PAYE	7561	PAYE	PAYE O/Ride	7562	PAYE Override
PRSI EE	7571	Employee PRSINI	PRSI EE O/ride	7572	Employee PRSINI Override
PRSI ER	7591	Employer PRSINI	PRSI ER O/ride	7572	Employee PRSINI Override
PRSI EE Exempt	6102	Employee NI Exempt	PRSI ER Exempt	7593	Employer PRSINI Exempt
Salary	7500	Salary	Basic Pay	7501	Basic Pay
Nett Pay	7589	Nett Pay			

Banking Details

Sort Code: 089003 THE CO-OPERATIVE BANK PLC

Account No.: 70002203 SEPA new method ☒

BIC: AIBKIE2D AIB BANK

IBAN: IE11AIBK93319860512854

SEPA Private ID:

SEPA Org ID: 444444

User Id: 996381 Foreign Exchange User Id:

Username: IR COMPANY

Address: KILKENNY

Post Code Prefix: Post Code Suffix:

Contact Name: MARY

Bank File Name:

Building Society Name:

4. Click **Save**.

2.4. Local Instrument Code

2.4.1. Overview

In SEPA ISO20022 payment messages, the Local Instrument Code specifies the type of payment instrument being used for a transaction. This code defines how the payment should be processed, including any specific rules or formats that apply in different countries or for various transaction types.

The Local Instrument Code ensures that:

- **Processing Rules:** Payments adhere to country-specific regulations.
- **Payment Types:** Different payment instruments, such as credit transfers or instant payments, are correctly handled.

Location in XML Messages

The Local Instrument Code is included in the payment instruction under the <PmtTpInf> (Payment Type Information) element. It is typically represented as follows:

Example XML Structure:

```
<PmtTpInf>
  <LclInstrm>
    <Cd>INST</Cd>
  </LclInstrm>
</PmtTpInf>
```

- **<Cd> Element:** Represents the code for the local instrument.
- **INST:** Indicates **instant payments** as per the **SEPA Instant Credit Transfer (SCT Inst)** scheme.

Purpose

The specific Local Instrument Code used depends on the payment method and applicable country regulations. It enables banks and payment systems to:

- Correctly interpret the payment.
- Apply local standards and processing rules.



Note:

Before making any updates to the **Local Instrument Code** field, it is strongly recommended to **consult with your bank**. This ensures that the selected code aligns with the bank's implementation of SEPA and avoids potential payment processing issues.

2.4.2. Update the Local Instrument Code

To update the **Local Instrument Code**:

1. Go to CorePay > Reference > Bank Details.
2. Select 2. Bank Identifiers from the Select Detail menu.

Maintain Bank Details

Type: BIC

Maintain BIC Details

BIC	Bank Name	Address	Post Code
AIBKIE2D	AIB BANK	AIB INTERNATIONAL CENTRE	POB 518
		IFSC	
		DUBLIN 1	
		IRELAND	

Select Detail

- 1. Bank Country Codes
- 2. Bank Identifiers
- 3. Data Talk

3. Select the **SEPA DETAILS** button.
4. Update the *Local Instrument Code* field.

Maintain Bank ID Codes

Bank Identifiers

Bank Identifier	Description
AIBK	Allied Irish Bank
DABA	National Irish Bank
ULSB	Ulster Bank
BOSI	Bank Of Scotland

SEPA DETAILS

SEPA Details

Header Msgid	ASD	File Name Text	
Enter Pay Method		Category Purpose	
Instruction Priority		Other ID	
Scheme Id Code		BIC Overwrite Active	☐
Charge Bearer		Local Instrument Code	
Batch Booking			
Instruction for Debtor Agent			
Unique Sequence Number			

OK CANCEL

5. Click **Save**.

3. Data Mapping

3.1.1. Overview

Data Mapping in Payroll XD enables users to map their PeopleXD reference data to the corresponding SEPA tags required by their bank. This ensures that payment files generated within Payroll XD adhere to the specific SEPA format mandated by each bank.

- Purpose: To align PeopleXD's internal data structure with the SEPA XML format.
- Key Benefit: Ensures accurate and compliant payment file generation, reducing the risk of processing errors.

By correctly mapping reference data to SEPA tags, organisations can seamlessly transition to the new SEPA ISO20022 standard.



Note:

Before completing any data mapping, it is strongly recommended to **consult with your bank** to fully understand the required structure of their SEPA XML bank file.

- **Bank-Specific Requirements:** For some banks, mapping **employer** and/or **employee** data may not be necessary.
- **No Mapping Configured:** If no data mapping is set up, **address information** will not be included in the New SEPA file.

This consultation helps ensure that your SEPA file complies with your bank's specific implementation, preventing potential submission errors.

3.2. Mapping SEPA Address data

Depending on your setup and bank requirements, the following mapping options may be configured:

- Payroll Employer Addresses – SEPAER
Used to map employer address details in payroll-related SEPA files.
- Payroll Employee Addresses – SEPA
Maps employee address details for payroll payment files.
- Expense Employer Addresses – SEPARX
Used to map employer addresses for expense-related SEPA files.
- Expense Employee (Claimant Address) – SEPAEX
Maps employee or claimant addresses in expense-related SEPA files.

To map your People XD data to configure your SEPA file:

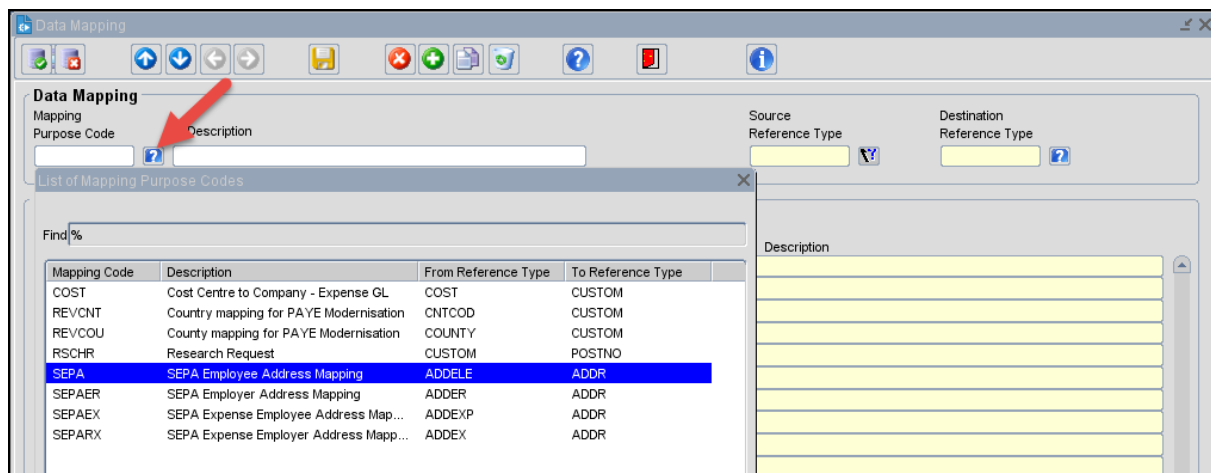
1. Go to CorePay > Reference > Bank Details.
2. Select 3. *Data Talk* from the Select Detail menu.

The screenshot shows the 'Maintain Bank Details' window. The 'Type' dropdown is set to 'BIC'. The 'Maintain BIC Details' section contains a table with columns: BIC, Bank Name, Address, and Post Code. The first row shows 'AIBKIE2D' for BIC, 'AIB BANK' for Bank Name, 'AIB INTERNATIONAL CENTRE' for Address, and 'POB 518' for Post Code. Below this, there are several empty rows for additional details. On the right side, the 'Select Detail' menu is open, showing three options: '1. Bank Country Codes', '2. Bank Identifiers', and '3. Data Talk'. A red arrow points to '3. Data Talk', which is highlighted with a red border.

3.3. Map the SEPA Employee Address

To map the SEPA Employee Address in PeopleXD:

1. Go to CorePay > Reference > Bank Details.
2. Enter the Mapping Code *SEPA* in the *Mapping Purpose Code* field or click  to select it from the LOVs.



Data Mapping

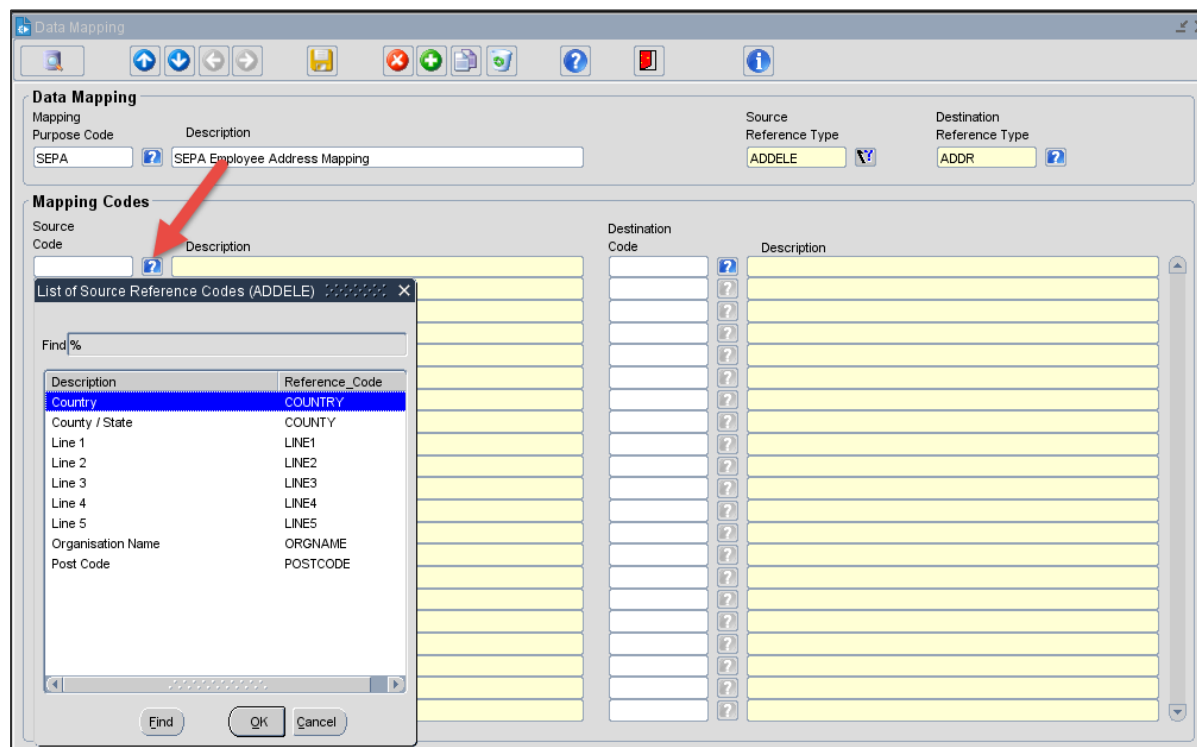
Mapping Purpose Code: Description:

Source Reference Type: Destination Reference Type:

List of Mapping Purpose Codes

Mapping Code	Description	From Reference Type	To Reference Type
COST	Cost Centre to Company - Expense GL	COST	CUSTOM
REVCNT	Country mapping for PAYE Modernisation	CNTCOD	CUSTOM
REVCOU	Country mapping for PAYE Modernisation	COUNTY	CUSTOM
RSCHR	Research Request	CUSTOM	POSTNO
SEPA	SEPA Employee Address Mapping	ADDELE	ADDR
SEPAER	SEPA Employer Address Mapping	ADDR	ADDR
SEPAEX	SEPA Expense Employee Address Map...	ADDEXP	ADDR
SEPARX	SEPA Expense Employer Address Mapp...	ADDEX	ADDR

3. Enter the *Reference Code* you want to map in the *Source Code* field or click  to select it from the LOVs.



Data Mapping

Mapping Purpose Code: Description:

Source Reference Type: Destination Reference Type:

Mapping Codes

Source Code: Description:

List of Source Reference Codes (ADDELE)

Description	Reference_Code
Country	COUNTRY
Country / State	COUNTY
Line 1	LINE1
Line 2	LINE2
Line 3	LINE3
Line 4	LINE4
Line 5	LINE5
Organisation Name	ORNAME
Post Code	POSTCODE

5. Enter the SEPA Tag to which you want to map the Reference Code in the Destination Code field.

The screenshot shows the 'Data Mapping' application window. The 'Mapping Codes' section is active, displaying a table with columns for Source Code, Description, and Destination Code. A modal window titled 'List of Destination Reference Codes (ADDR)' is open, showing a search bar with 'SEPA %' and a list of options including 'SEPA Block Name', 'SEPA Block No', 'SEPA Country', 'SEPA Country Sub Division', 'SEPA Department', and 'SEPA District Name'. A red arrow points to the 'Save' button in the top right corner of the application window.

Data Mapping

Mapping
Purpose Code: SEPA
Description: SEPA Payroll Employee Address

Source Reference Type: ADDELE
Destination Reference Type: ADDR

Mapping Codes

Source Code	Description	Destination Code	Description
POSTCODE	Post Code		

List of Destination Reference Codes (ADDR)

Find: SEPA %

Description

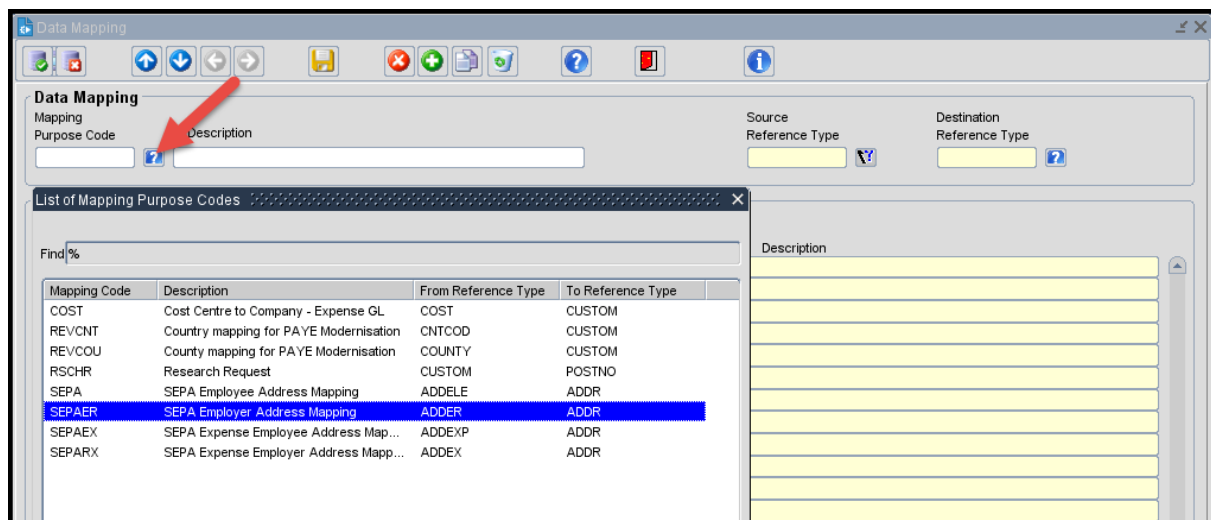
- SEPA Block Name
- SEPA Block No
- SEPA Country
- SEPA Country Sub Division
- SEPA Department
- SEPA District Name

6. Click **Save**.

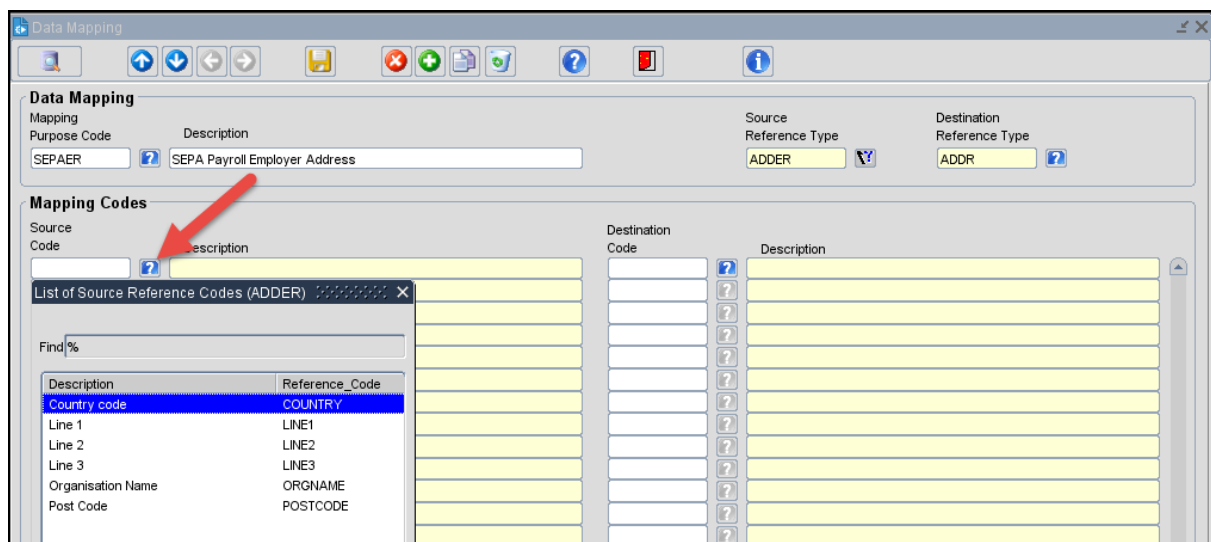
3.4. Map the SEPA Employer Address

To map the SEPA Employer Address in PeopleXD:

1. Go to CorePay > Reference > Bank Details.
2. Enter the Mapping Code *SEPAER* in the *Mapping Purpose Code* field or click  to select it from the LOVs.



3. Enter the *Reference Code* you want to map in the *Source Code* field or click  to select it from the LOVs.



4. Enter the SEPA Tag to which you want to map the Reference Code in the Destination Code field.

The screenshot shows the 'Data Mapping' application window. At the top, there's a toolbar with various icons. Below it, the 'Mapping' section contains fields for 'Purpose Code' (SEPAER) and 'Description' (SEPA Payroll Employer Address). To the right, 'Source Reference Type' and 'Destination Reference Type' are both set to 'ADDR'. A red arrow points to the 'ADDR' button next to the 'Source Reference Type' field.

Below the mapping section is the 'Mapping Codes' section. It features a table with columns for 'Source Code', 'Description', 'Destination Code', and 'Description'. The first row shows 'COUNTRY' as the source code and 'Country code' as the description. A modal window titled 'List of Destination Reference Codes (ADDR)' is open, displaying a search bar with 'Find: SEPA %' and a list of options. The option 'SEPA Country' is highlighted in blue. The list includes: SEPA Block Name, SEPA Block No, SEPA Country, SEPA Country Sub Division, SEPA Department, SEPA District Name, SEPA Floor, SEPA Postal Box, and SEPA Postal Code.

5. Click **Save**.

4. Bank-Specific Requirements for SEPA File Format Retrofitting

4.1. Overview

Providers transitioning to the ISO 20022 XML file format, specifically utilising the pain.001.001.03 version. This format standardises financial messaging, enhancing interoperability and efficiency in payment processing. While many SEPA providers are adopting newer versions, providers can continue to use the .03 format, implementing specific adjustments to align with the New SEPA method.

This section provides comprehensive instructions on how to structure payment files according to a providers specifications using Danske Bank as the example.

Note:

It's important to note that while the ISO 20022 standard is general, each provider may have specific implementations. Therefore, consulting with Providers directly or reviewing their official documentation is recommended to ensure compliance with their requirements.

4.2. Changes to SEPA XML Bank File

The new **SEPA ISO20022 schema** introduces several updates to the XML Bank File format. Below is an overview of key changes and new tags implemented in **Version .03**:

XML Group	Description	XML
Header	Change: Updated encoding reference.	<code>xmlns="urn:iso:std:iso:20022:tech:xsd:pain.001.001.03"</code>
Local Instrument Code	See section: Local Instrument Code . Purpose: Identifies the Standard Entry Class Code.	<code><LclInstrm> <Cd>LIC</Cd> </LclInstrm></code>
Settlement Information - Requested Execution Date	New Tag: Inclusion of <Dt> to specify the execution date. The execution date is often the same as the processing date for instant transactions.	<code><ReqdExctnDt> <Dt>2024-09-11</Dt> </ReqdExctnDt></code>
Debtor Agent	Changes to Address Tags: Format adjusted based on bank requirements.	<code><Nm>968 - FRANECKI INC</Nm> <PstlAdr> <StrtNm>5 GREENFIELDS</StrtNm> <PstCd>R95P79R</PstCd> <TwnNm>FRESHFORD RD</TwnNm> <CtrySubDvsn>KILKENNY</CtrySubDvsn> <Ctry>IE</Ctry> </PstlAdr></code>
Debtor Postal Address	Addition: Inclusion of Country Code in the postal address.	<code><PstlAdr> <Ctry>IE</Ctry> </PstlAdr></code>
Creditor Agent	Changes to Address Tags: Similar adjustments as the debtor address.	<code><PstlAdr> <StrtNm>15 Loreto Avenue</StrtNm> <PstCd>D13DD23</PstCd> <TwnNm>Bishops Meadows</TwnNm> <CtrySubDvsn>Kilkenny</CtrySubDvsn></code>

XML Group	Description	XML
		<Ctry>IE</Ctry> </PstlAdr>
Creditor Postal Address	Addition: Inclusion of Country Code in the postal address.	<PstlAdr> <Ctry>IE</Ctry> </PstlAdr>

4.3. Configuring the SEPA Bank File Settings

The following configuration steps will **override** any existing **System Level** or **Company Level** SEPA Bank File settings. This is the configuration that is applied for banks where they advise they are retrofitting the SEPA changes to the previous bank file format instead of adopting the new changes.

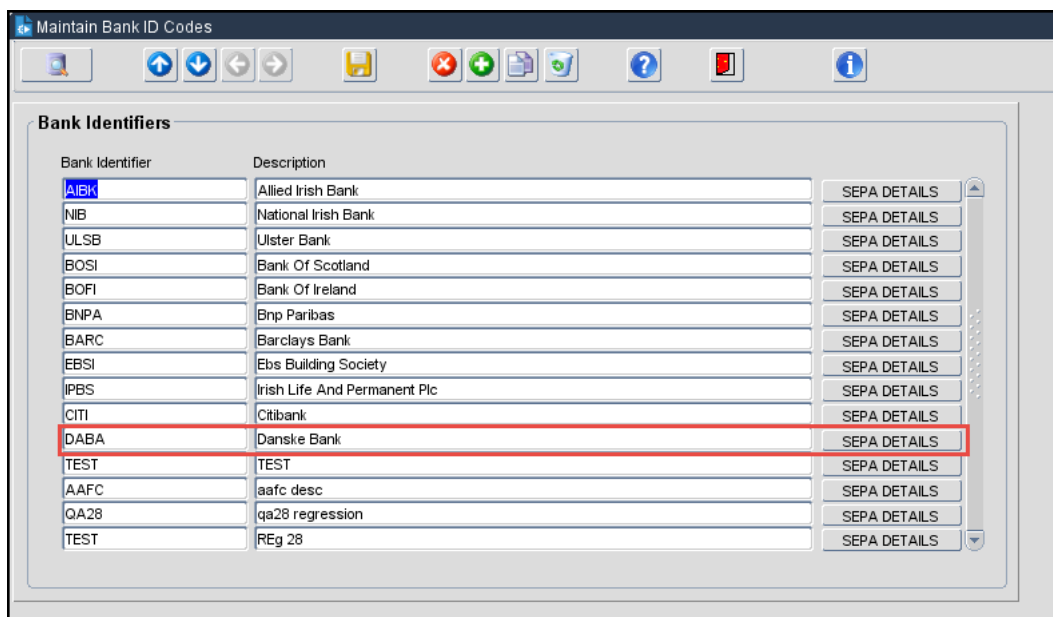


Note:

This example configuration produces your Danske Bank file in the **.03 format**, incorporating **.09 features**, to meet the **New SEPA Method** requirements.

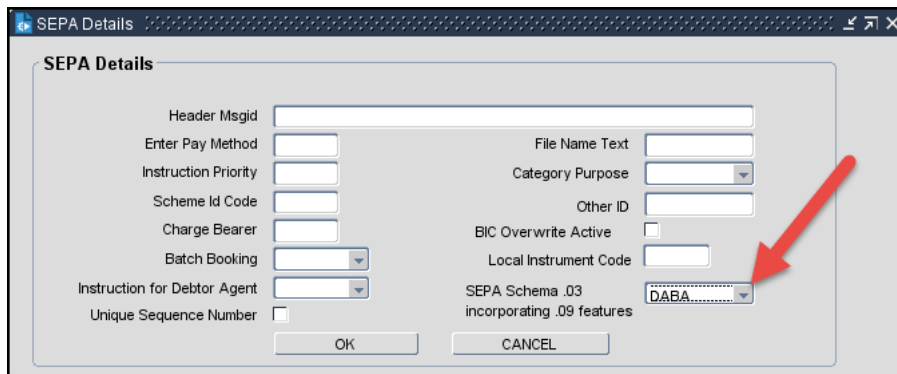
To configure your Danske Bank file for the New SEPA Method:

1. Go to CorePay > Reference > Bank Details.
2. Ensure Danske is set up in your **Bank Identifier** list.
 - Bank Identifier = DABA



3. Select the **SEPA DETAILS** button.

4. Select **DABA** from the **SEPA Schema .03 incorporating .09 features** drop-down.



The screenshot shows a window titled "SEPA Details". Inside, there are two columns of fields. The left column includes: Header Msgid (text box), Enter Pay Method (text box), Instruction Priority (text box), Scheme Id Code (text box), Charge Bearer (text box), Batch Booking (dropdown), Instruction for Debtor Agent (dropdown), and Unique Sequence Number (checkbox). The right column includes: File Name Text (text box), Category Purpose (dropdown), Other ID (text box), BIC Overwrite Active (checkbox), Local Instrument Code (text box), and SEPA Schema .03 incorporating .09 features (dropdown). The dropdown menu for "SEPA Schema .03 incorporating .09 features" is open, showing "DABA" as the selected option. A red arrow points to this dropdown. At the bottom are "OK" and "CANCEL" buttons.

5. Click **OK** then **Save**.



Note:

Your **PeopleXD Payroll** system is now configured to generate the **SEPA Bank file** in the **.03 format**, incorporating **.09 features** to meet the requirements of the **New SEPA Method**. There is **no change** to the existing **generate bank file procedure**. Users can continue to generate bank files as usual, with the system automatically applying the new format and features for the SEPA Bank file.

5. Third Party EFT

5.1. Overview

When using the Third Party EFT module to make SEPA payments to third parties, it is now possible to include address details on the Third Party payment pay code. This ensures compliance with bank requirements under the new SEPA method.

5.2. Configuration Requirements

To add a Third Party's address to Third Party payment pay code:

1. Go to *CorePay > Reference > Pay Code*
2. Search for and select the relevant **Deduction Pay Code**.
3. Open the **Deductions** tab.
4. Click the **SEPA Address** button.

The screenshot shows the 'Maintain Pay Codes' application window. The 'Pay Code' is 739 and the 'Description' is CLUB MEMBERSHIP. The 'Deductions' tab is selected. The 'Calculation Rules' section includes fields for Standard Value, Percentage, Calculation Priority, Reducing Balance, Cumulative Deduction, Instalment Deduction, RTI Statutory Deduction, Annual Max., Scaled Deduction, Standard Percentage, Loan Recovery, Spreadable Deduction, No. of Dedn. Weeks, Periodic Maximum, Scale Rates, Timesheet Override, Scaled Rounding Method, Percent Ceiling Amount, OAP Adjustment Ind., Accumulate Unpaid, Pro Rata Deduction, No. of Dedn. Months, Student Loan, and Post Graduate Loan. The 'Court Orders / AEO's' section includes fields for Court/Voluntary, Admin Charge, Admin Code, Net Earnings, AEO Code, AEO Codes, Protected Earnings %, and Scottish Arrestment Order. The 'Banking Details' section includes fields for Third Party Returns, Sort Code, BIC, IBAN, Account Number, Reference, and Discount. The 'SEPA Address' button is highlighted with a red arrow. The 'Payslip' section includes fields for Print Cuml Deductions, Pre Taxable Deductions Print Side, and Print Cums if no Deductions this Period.

5. Enter the third party's address details.
6. Click **OK**.

The screenshot shows the 'Maintain Pay Codes' application window. The 'Pay Code' is 739 and the 'Description' is CLUB MEMBERSHIP. The 'General' tab is selected. The 'SEPA Third Party Address' dialog box is open, showing the following fields:

- Street Name: Little Island
- Town Name: Cobh
- Post Code: R95 P79R
- Country Sub Division: Co.Cork

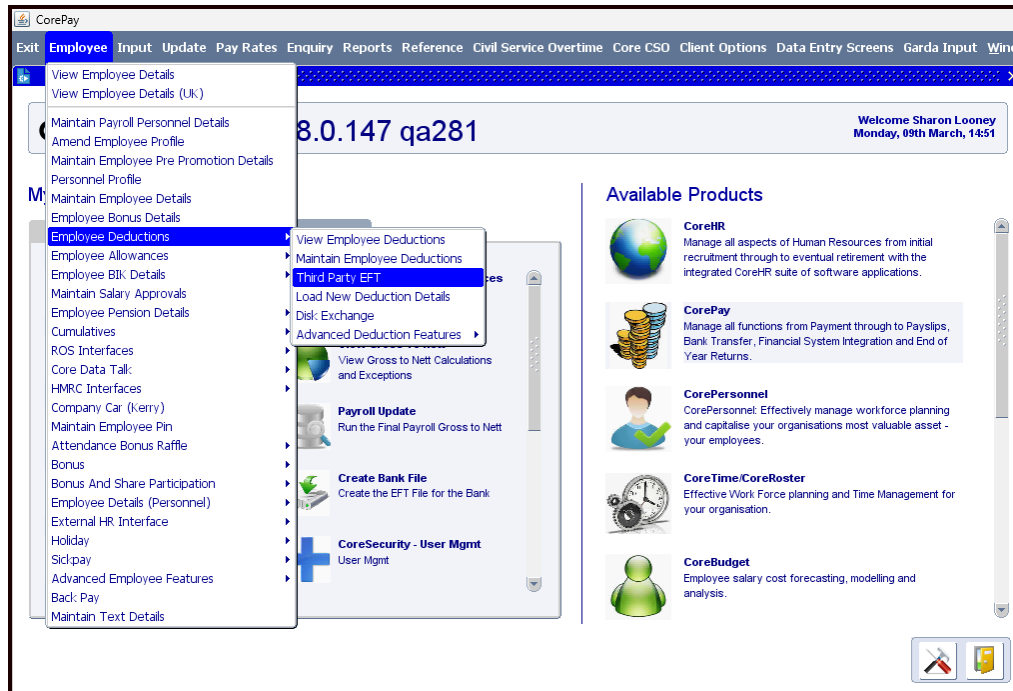
The dialog box has 'OK' and 'Cancel' buttons. The background application window shows various tabs and fields, including 'Calculation Rules', 'Court Orders / AEO's', and 'Banking Details'.

7. Click **Save**.

5.3. Generate Third Party EFT File

To generate the Third Party EFT File:

Go to CorePay > Employee > Employee Deduction > Third Party EFT.



5.3.1. Extract Third Party Details

1. Select the required Pay Group or choose All to include all pay groups.
2. Select the required Pay Code or choose All to include all pay codes. You may also filter by frequency (e.g. weekly, monthly, quarterly).
3. Enter the From Period and To Period to define the payroll periods to be included in the extract.
4. Enter the PayPath Processing Date, then click the Printer icon. Click **Print** to generate the extract.

Third Party EFT

Report Name:

Company:

Sort Code: Acc. No.: User Id.: Processing Date:

Pay Group: Pay Group 968

Pay Code: All Pay Codes

From Period:

To Period:

Paypath Date:

Output File Options

Browse 1

File Summary Options

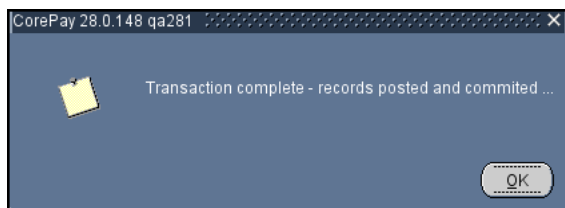
☒ Pay Code ☐ Reference

Payments to be Processed: 1 0% 50% 100% Payments Processed: 1

Start End



You will receive the following message, 'Transaction complete - records posted and committed'.



5. Click **OK**.

5.3.2. Generate Third Party EFT File

1. Enter the Company Code and press Return. The Company Sort Code, Account Number, and User ID will be displayed.
2. Enter the PayPath Processing Date and press Return. This must match the date entered on the Extract Third Party Details screen.
3. Click the Browse button to select the location where the EFT file will be saved.
4. Click the Printer icon to generate the file.

Third Party EFT

Report Name: GENERATE THIRD PARTY EFT FILE

Company: 968 968 - FRANECKI INC

BIC: AIBKIE2D IBAN: IE51 AIBK93319860512425 Org Id: 444444 Start Date:

Pay Group	Description	Pay Code	Description	Employees	Start Date
968	Pay Group 968	739	CLUB MEMBERSHIP	1	31-MAR-2026

Output File Options

C:\TEMP\TPARTY.XML Browse... SEPA

File Summary Options

☒ Pay Code ☐ Reference

Printer icon

A report, Third Party EFT Listing (Pay430tp), will be generated in the Reports Previewer. This report provides a breakdown by employee number of the deductions and values included in the EFT file.